Classroom market: run sheet

Board: **dbhagia.com/econ201/experiment/market-board.html**. Cards clear at **$5 to $7** for any headcount; four of every six pairs should trade.

Before class

- Print **cards-buyers.pdf** on green and **cards-sellers.pdf** on white, double-sided, flip on the long edge. One copy of each covers 12 students; five copies of each cover 60.
- Cut each sheet and rubber-band it as one bundle in printed order: down the left column, then down the right.
- Open the board, Round 1, "Clear everything". Keep the Outcome section folded.

	1	2	3	4	5	6
Buyer bundle	10	9	8	7	4	3
Seller bundle	2	3	4	5	8	9

Dealing (Round 1 only)

1. Count the room. Half buyers, half sellers (say, by side of the room).
2. Hand out whole bundles first: one buyer bundle and one seller bundle per 12 students.
3. For the remainder, deal from the **top** of one more buyer bundle and the **top** of one more seller bundle, the same number from each. An odd student means one extra card on one side; that is fine.
4. Set the unused cards aside. Do not mix them back in.
5. Late arrival: next card from the set-aside buyer bundle, and its partner from the seller bundle if there is one.

Rules to say aloud

- Keep your number private. Buyers: the number is the most it is worth to you. Sellers: the number is your cost.
- Find someone on the other side and agree on a price. Then both come to the front with your cards.
- One trade each per round. Never at a loss. Not trading earns zero.
- Five minutes. Go.

During a round

- Pair comes up: read both cards, pick the buyer's value and seller's cost from the dropdowns, type the price, Enter.
- Read the board aloud each time: "Sold at $6." That announcement is what makes prices converge.
- If the price is above the buyer's value or below the seller's cost, the board refuses it; send them back.
- Keep both cards. Untraded students sit down at the bell with their cards.

Between rounds

1. Collect the untraded cards. Type their numbers into the two boxes under the price chart (buyers in one, sellers in the other).
2. Say only what the top of the board shows: how many trades, the average, the spread. Do not open Outcome yet.
3. Shuffle all the cards in play (traded and untraded together) and redeal, buyers to buyers, sellers to sellers. Order no longer matters.
4. Switch the board to the next round. Go again.

After the last round: Outcome

1. Price chart first: Round 1 scattered, later rounds bunched. "Who told you $6?"
2. Open Outcome. "At $8, how many of you would buy? Would sell?" Count on the curves. Excess supply at $8, excess demand at $4, only $5 to $7 balances.
3. Who was left out: the 4s and 3s, the 8s and 9s. Should they have traded? No.
4. Gains captured of the most possible. Where did the missing dollars go?
5. Slides: from cards to a demand curve, to a supply curve, why the price ends up where they cross, who trades, price-takers.
6. Download the CSV before closing the page.

If the laptop dies: write prices on the whiteboard as they come; keep the cards from each trade in a pile; reconstruct on the board afterwards from the piles.